Introduction

Pensions Are Dying; Long Live Pensions

> *"...At present, the only way a company can manage the risk of long-lived workers is to work them so hard that they die within a few years of retirement; this is not a good way to retain staff...."*
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> *Financial Times,* editorial, September 30, 2006

On Tuesday, March 7, 2006, General Motors (GM) issued a press release that was distributed to newswires and the usual business channels. In a briefly worded statement, it announced that all new employees hired by GM after January 1, 2007, would no longer be entitled to enroll or participate in the company's traditional pension plan. The plan was being closed and frozen to all entrants. Instead, new GM employees would be given the option of participating in the company's enhanced salary-deferred, tax-sheltered savings program, also known as a 401(k) plan. Employees who elected to join the 401(k) plan would have their contributions or savings matched by GM, up to a limit, as is usually the case with these ubiquitous plans. They would be given the ability to manage and diversify their investments across a wide range of stocks, bonds, and other funds. In a sense, they would all become personal pension fund managers.

In the technical language of pension economics, GM had replaced its guaranteed defined benefit (DB) pension plan with a defined contribution (DC) pension plan. Like many other companies before it, and many others since, GM "threw in the towel" and went from a DB to a DC plan.

Oddly enough, despite the rather arcane nature of the news, GM's stock, which before the announcement on Monday afternoon was